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Disney and 21st Century Fox:

Reshaping Disney's Strategy for the Digital Age

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This case was written by Guillaume Roels, Associate Professor of Technology and Operations Management, the Timken Chaired Professor of Global Technology and Innovation, and Anne-Marie Carrick, Research Associate, both at INSEAD.
It is intended to be used as a basis for class discussion rather than to illustrate either effective or ineffective handling of an administrative situation.

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> *The mission of The Walt Disney Company is to be one of the world's leading producers and providers of entertainment and information. Using our portfolio of brands to differentiate our content, services and consumer products, we seek to develop the most creative, innovative and profitable entertainment experiences and related products in the world.*[1]
>
> The Walt Disney Company's Mission Statement

On 14 December 2017, Disney announced a deal with 21st Century Fox to acquire their film library, broadcast networks (e.g., Fox Sports, FX, National Geographic), together with their international satellite broadcasters Sky Plc in Europe and Tata Sky in India.[2] The news followed an earlier statement by Bob Iger, Disney's CEO, that Disney would develop its own streaming service to be operational by the end of 2019 when its contract with Netflix expired.[3]

These moves seemed to indicate a new direction in Disney's corporate strategy. Since the company's creation in 1923, content creation and production had always taken precedence over distribution. Iger's predecessor, Michael Eisner, had reportedly said that:

> *Content is king… [we] have faith in all media. If you have a great story to tell, it will work on any delivery system.*[4]

Disney's accumulation of original offerings had led the company to become the media giant it was, with record revenues of US$55.6 billion in 2016.[5] Although its creativity machine was more effective than ever, with Disney owning the four highest-grossing films that year,[6] its content-centred business model had started to show signs of fatigue. Indeed, over the last few years the home entertainment model had been disrupted, notably with the arrival of streaming services such as Netflix and with it the decline of cable TV subscriptions. Distribution, it appeared, was becoming just as important as original content creation.

There had been several occasions for Disney to integrate forward into streaming services. In 2016, it was rumoured that Disney was considering the acquisition of Netflix.[7] Despite the rumours, a year later the media giant – with its zero customer base – was still lagging Netflix's 109 million subscribers worldwide.[8] Ironically, Disney and Fox had contributed to the latter's spectacular growth by licensing their content to Netflix.

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1 https://www.thewaltdisneycompany.com/about/ (March 2018).
2 N.B. Fox News and Fox Business channels were not included in the deal.
3 After the Fox deal was approved, Disney would own 60% of Hulu, a streaming service co-owned by four studios.
4 https://www.screendaily.com/content-remains-king-michael-eisner-tells-mipcom/4041380.article (April 2018)
5 The Walt Disney Company, November 2017 - https://ditm-twdc-us.storage.googleapis.com/q4-fy17-earnings.pdf
6 https://www.forbes.com/sites/markhughes/2016/08/26/disney-owns-2016-box-office-with-four-highest-grossing-films-of-the-year/#290b6e5265ef, (April 2018).
7 http://fortune.com/2016/10/04/disney-acquisition-netflix/ (April 2018)
8 The Mouse Gets the Fox – Disney's purchase of Fox's entertainment assets is a gamble on media's future. *The Economist* 14th December 2017.

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If Disney's acquisition of Fox was approved, it would significantly expand Disney's content, from its own Pixar, Marvel and Star Wars to Fox's Avatar and The Simpsons. As such, the acquisition could be interpreted as a continuation of Disney's content-centred strategy, enabling it to grow *horizontally* through content creation and production. However, many pundits interpreted Disney's move as a radical change in strategy, enabling it to scale up content to allow *vertical* integration into distribution, in particular by establishing its own streaming service (one focused on sports, the other on movies and shows) as an alternative to Netflix.[9] Was this Bob Iger's attempt to reinvent Disney in response to the digital revolution that was transforming all aspects of business and society?

There were many decisions to be taken and issues to resolve before Disney developed its own distribution channel: How to align Fox's content (with R-rated movies[10] such as Deadpool) with Disney's family-friendly image? Should the content be available exclusively through Disney or should others (including Netflix, Amazon Video) be allowed to distribute part of its offering? Besides Disney and Fox productions, should the streaming service offer other value-added services?

Alternatively, rather than spending resources integrating forward into distribution, should Disney consider expanding its content portfolio to include Chinese or Indian characters as a way to reach these fast-growing economies? With the impending expiry of its copyright on Mickey Mouse, Iger understood the importance of change for the company. His mandate at Disney had been extended until 2021 – the third time he had agreed to do this.

The Walt Disney Company

Founded in 1923 by Walt and Roy Disney, the Walt Disney Company had grown to become the world's largest media company and licensor of branded merchandise. Its portfolio included films, television, theme parks and publishing. It operated four business segments: Media Networks, Parks and Resorts, Consumer Products and Interaction and Studio Entertainment (Exhibit 1). In 2016, the company reported the highest revenues (US$55.6 billion) and net income (US$15.7 billion) in its history,[11] with Media Networks generating most revenues for the group (Exhibit 2).

Disney's corporate strategy from the outset had been "content is king" (Exhibit 3). Its unique offerings were available through various distribution outlets and synergies across its multiple activities. Customers included television channels (distribution rights), cinema theatres and streaming services – notably Netflix, with whom it had an exclusive deal since 2012 to stream its more recent films.

Competition traditionally came from other major film studios: Time Warner, 21st Century Fox, NBC Universal, Sony and Viacom. More recently, streaming services such as Netflix and Amazon Video (which were Disney clients) and YouTube had started to compete for Disney's customers'

9 https://stratechery.com/2017/disney-and-fox/ (April 2018).
10 Rated R: Restricted – under 17 requires accompanying parent or adult guardian.
11 The Walt Disney Company, November 2017 - https://ditm-twdc-us.storage.googleapis.com/q4-fy17-earnings.pdf

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attention (as did other forms of entertainment such as video games, sports, music), as well as for content creators' talent.[12]

Acquisitions – 21st Century Fox

> *The Walt Disney Company agreed to buy much of 21st Century Fox in a merger worth US$66 billion. The deal will accelerate Hollywood's transformation from a film capital to a streaming-video town.*[13]

The Walt Disney Company had a history of acquiring studio entertainment companies to enrich its content offering, including Pixar (2005) for US$7.4 billion, Marvel (2009) for US$4 billion and Lucasfilm (2012) for US$4.1 billion (Exhibit 4). In December 2017, it announced its largest deal to date with the acquisition of a majority of 21st Century Fox (Exhibit 5).

At first glance, it appeared to be a horizontal expansion. Fox's international assets could help Disney market its brand directly to consumers outside the American market where the US brand was limited to films and theme parks. Some analysts considered Star India, a fast-growing TV provider in India (with the world's second largest population) invaluable for Disney.[14]

However, others saw it as a response to the disruption of the old business model, as film house ticket sales declined and Fox's cable networks lost subscribers as consumers turned to streaming rather than paid-TV (Exhibit 6). Although streaming services were perceived as pure distributors, recently they had integrated 'backward' into content production. By 2017, they were comparable in size to, if not larger than, Disney in content production. Netflix spent US$6.3 billion in 2017 on non-sports content, but was expected to increase it to US$8 billion in 2018, whereas Amazon spent US$4.5 billion and Disney spent US$7.8 billion on non-sports content.[15]

Digital Transformation

In 2012, the decision to engage with Netflix to stream Disney's most popular titles was born out of Iger's conviction that while Disney's content remained distinctive, the distributors would do their utmost to ensure customers paid for it. With the arrival of Netflix, Iger saw a new way to distribute content and generate revenue. It was, he said, "an exciting time for intellectual property owners."[16]

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12 https://www.nytimes.com/2018/02/14/business/media/streaming-wars-ryan-murphy.html?rref=collection%2Fsectioncollection%2Fbusiness&action=click&contentCollection=business&region=rank&module=package&version=highlights&contentPlacement=1&pgtype=sectionfront (April 2018)

13 The Mouse Gets the Fox – Disney's Purchase of Fox's Entertainment Assets is a Gamble on the Media's Future. *The Economist* 14th December 2017.

14 https://www.economist.com/news/business-and-finance/21732649-ceding-ground-rupert-murdoch-pivoting-pivotal-moment-disneys-purchase-foxs, December 2017.

15 https://www.recode.net/2018/2/26/17053936/how-much-netflix-billion-original-content-programs-tv-movies-hulu-disney-chart

16 https://seekingalpha.com/article/993561-walt-disney-management-discusses-q4-2012-results-earnings-call-transcript?part=single (April 2018).

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By 2018, Netflix was a sizeable customer: according to one estimate, Netflix paid Disney US$325 million annually to license its films.[17]

Netflix

However, Netflix was more than another distribution channel for Disney; it was a competitor to Disney's other (lucrative) content customer – cable TV. Since the arrival of Netflix and other players such as Amazon, Hulu and YouTube, many customers had switched from cable to streaming – a process known as "cutting the cord" (Exhibit 7). Netflix also attracted new customers that had never paid for cable TV.

The streaming service initially offered a wide selection of available content (e.g., in DVD format) with no restrictions on time to watch and unlimited viewing. Leveraging its user base, Netflix then acquired streaming rights, which further boosted its user base and strengthened its brand and buying power. Going one step further, Netflix began to produce its own material, giving creators full control and a guarantee that they would create an entire season at a time.[18] This signalled another change: Netflix was now a competitor for differentiated content like Disney's.

> *Whereas Netflix laddered-up to its vertical model and used its power as an aggregator of demand to gain power over supply, Disney is seeking to leverage – and augment – its supply to gain demand. The end result, though, would look awfully similar: a vertically integrated streaming offering that attracts and keeps customers with exclusive content, augmented with licensing deals.*[19]

Disney Streaming

> *There is a huge battle going on between Silicon Valley and Hollywood for the big studios, they need to decide whether they want to go big or go small or go out.*[20]
>
> Rich Gelforn, CEO, IMAX

> *We're going to launch big, and we're going to launch hot.*[21]
>
> Bob Iger, CEO, Disney

The idea of developing its own streaming platform was not new. According to Kevin Mayer, Chief Strategy Officer, Disney had started discussing streaming options in 2006. However, it had to tread cautiously since this implied embracing a new business model at the expense of the existing profitable model (through cable TV and other distribution outlets). Disney investigated different

17 Disney's Big Bet on Streaming Relies on Little-Known Tech Company. The New York Times. 10 October 2017.
18 Disney and Fox – Stratechery, 12 December 2017, Ben Thompson.
19 *Ibid*.
20 The Mouse Gets the Fox – Disney's Purchase of Fox's Entertainment Assets is a Gamble on the Media's Future. *The Economist* 14th December 2017.
21 Disney's Big Bet on Streaming Relies on Little-Known Tech Company. The New York Times. 10 October 2017.

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services and even considered purchasing Twitter and Netflix[22] at one stage.[23] In 2010, Disney introduced TV Everywhere that allowed viewers to watch television shows on mobile devices if they subscribed to cable or satellite services, but it was not a huge success. In 2015, its DisneyLife app offered old Disney movies, series, children's e-books, games and music in the UK for a monthly subscription (of US$13), but soon realized that without new films or exclusive content it would never generate much interest. The app was not launched outside the UK.

After repeated failures to develop its own streaming service, Iger came across the Manhattan-based technology firm BamTech.[24] The 850-employee company had an excellent record for delivering millions of live streams simultaneously without glitches. With its advertising technology and reputation for attracting and maintaining viewers, it was "as good as it gets", said Mike Vorhaus, President of Magid Advisors, a media and technology consultant.[25]

Among its many achievements, BamTech was responsible for building HBO Now, which had delivered "just in time" for the season 5 premiere of the popular "Game of Thrones". Impressed by the small company and with a view to it developing its own streaming service, Disney paid US$1 billion in 2016 for a 33% stake in BamTech, with an option to buy a controlling in interest in 2020. Michael Paull who had overseen Amazon Prime Video and introduced Amazon Channels, was recruited as BamTech's CEO by Disney.

In June 2017, BamTech agreed to accelerate Disney's controlling stake option, resulting in a 75% stake in the streaming company for an additional US$1.58 billion.[26] This raised concerns among investors about the cost of developing a streaming service, as well as the loss of revenues from Netflix as of 2019 when the contract with Disney expired. Uneasiness mounted when Disney announced it would produce original films and series for the non-sports service.

Regulatory Issues

If approved by the regulatory authorities, Disney's deal with 21st Century Fox would signal a radical change in the media landscape.[27] Together they represented 40% of US box-office revenues for 2016. The joint company would have significant bargaining power to negotiate affiliate deals with distribution partners. Yet this *horizontal* dominance was not the main concern of the anti-trust

22 https://www.ft.com/content/9c7256a6-f7fe-11e7-88f7-5465a6ce1a00
http://time.com/4521350/netflix-disney-apple/

23 Twitter's reputation at the time as a platform where hate speech could be disseminated could have posed a problem for the Disney brand.

24 BamTech was established in 2015 as a spin-off of MLB Advanced Media – the digital media arm of Major League Baseball, focused on providing streaming video technology, particularly for over-the-top content (OTT) services. The company's major clients included the NHL, HBO (for its HBO Now service), the PGA Tour, Riot Games, WatchESPN, PlayStation Vue, WWE Network and TheBlaze.

25 Disney's Big Bet on Streaming Relies on Little-Known Tech Company. The New York Times. 10 October 2017.

26 *Ibid*.

27 The Mouse Gets the Fox – Disney's purchase of Fox's entertainment assets is a gamble on media's future. *The Economist* 14th December 2017.

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authorities. They were more concerned about Disney's intended *vertical* move into distribution, for similar reasons to those that blocked AT&T's acquisition of Time Warner.[28]

Whatever the regulators decided the pressure to create new media combinations would continue as the incumbents faced a new wave of competition from Netflix, Amazon and YouTube. The old guard began to realize that content was perhaps no longer king and were eager to scale up and acquire the ability to distribute content directly to consumers.

The Future

With the Fox deal, Disney would have a wealth of differentiated content to include in its streaming library, including several of Netflix's most streamed programmes, albeit some content conflicted with Disney's family-friendly image. Alternatively, it could choose to grow content more gradually and organically. Instead of a vertical move into distribution, Disney could remain true to its roots, focusing on content development and extending its presence in fast-growing economies. The Disney brand was still very "American" and had room to grow by acquiring or developing content that would appeal to a global audience, perhaps with a focus on the world's largest economies in the next decades (Exhibit 8).

Another concern was Disney's copyright on Mickey Mouse, which was set to expire in 2023. Although extended several times, usually coinciding with the imminent loss of the Mickey Mouse copyright (Exhibit 9), it was uncertain whether Disney would be able to do so again.

Given these challenges and opportunities, was it wiser for Disney to pursue a horizontal strategy of growing its content portfolio, rather than pursuing a vertical strategy with a move into distribution?

28 Vertical foreclosure is the exclusion that results when a downstream buyer is denied access to an upstream supplier (upstream foreclosure), or when an upstream supplier is denied access to a downstream buyer (downstream foreclosure).

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Exhibit 1
The Walt Disney Company

Media Networks

Media Networks comprises a vast array of broadcast, cable, radio, publishing, and digital businesses across two divisions – the Disney/ABC Television Group and ESPN Inc.

Parks, Experiences and Consumer Products

Parks, Experiences and Consumer Products brings Disney's stories, characters and franchises to life through Parks and Resorts, toys, apps, apparel, books, and stores.

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Studio Entertainment

For over 90 years, The Walt Disney Studios has been the foundation on which The Walt Disney Company was built. Today, the Studio brings quality movies, music and stage plays to consumers throughout the world.

Direct-To-Consumer and International

Comprised of Disney's international media businesses and the Company's various streaming services, the Direct-to-Consumer and International segment aligns technology, content, and distribution platforms to expand the Company's global footprint and deliver world-class, personalized entertainment experiences to consumers around the world.

Source: https://www.thewaltdisneycompany.com/about/ (2018)

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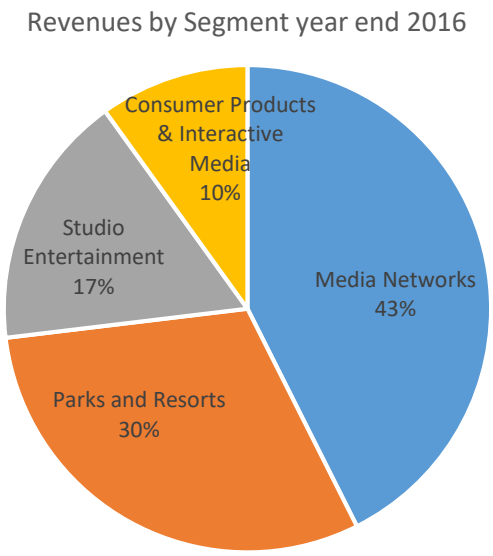
Exhibit 2

Revenues and Operating Income by segment – The Walt Disney Company

	Year End 1 October 2016	Year End 3 October 2015
Revenues		
Media Networks	$23,689	$23,264
Parks and Resorts	$16,974	$16,162
Studio Entertainment	$9,441	$7,366
Consumer Products & Interactive Media	$5,528	$5,673
Total	**$55,632**	**$52,465**
Operating Income		
Media Networks	$7,755	$7,793
Parks and Resorts	$3,298	$3,031
Studio Entertainment	$2,703	$1,973
Consumer Products & Interactive Media	$1,965	$1,884
Total	**$15,721**	**$14,681**



Source: Adapted from The Walt Disney Company, November 2017
https://ditm-twdc-us.storage.googleapis.com/q4-fy17-earnings.pdf

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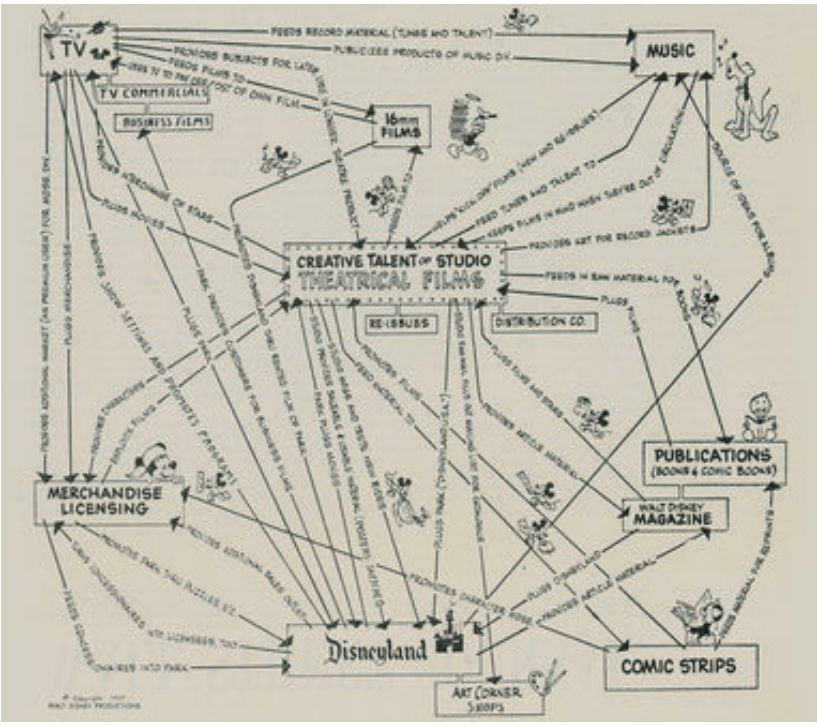
Exhibit 3

Disney's Corporate Strategy: Content is King



Source: https://www.economist.com/news/briefing/21684138-disney-making-fortune-and-safeguarding-its-future-buying-childhood-piece-piece

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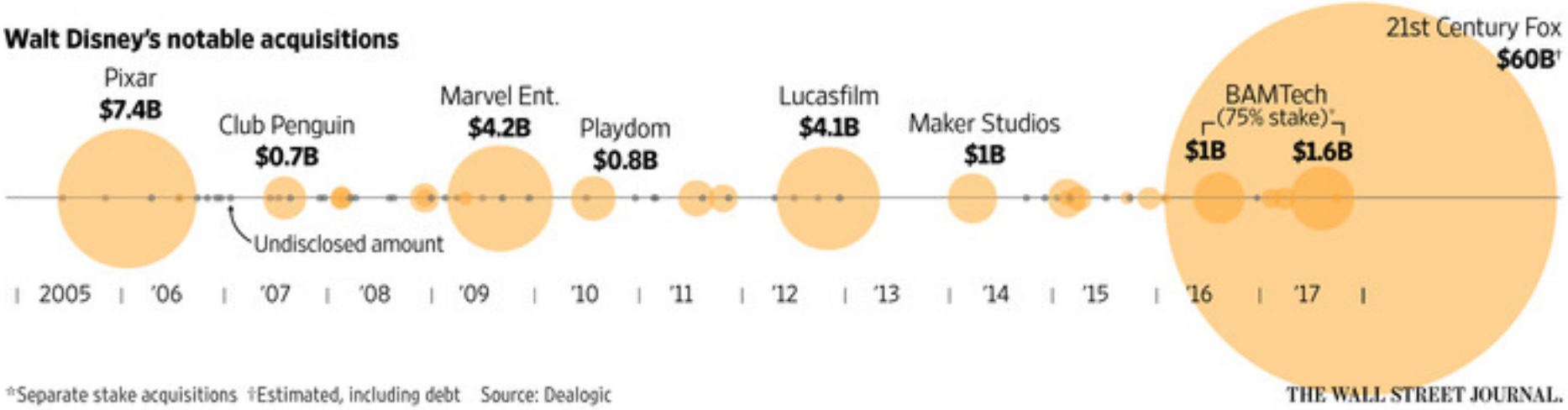
Exhibit 4
Disney's Acquisitions



Source: https://www.wsj.com/articles/disney-finalizing-pact-to-acquire-assets-from-21st-century-fox-1513203075

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Exhibit 5
Fox's Selected Content

Avatar

Movie review by Sandie Angulo Chen, Common Sense Media

Common Sense says

age 13+ ★★★★☆

Action-heavy epic has dazzling effects, familiar story.

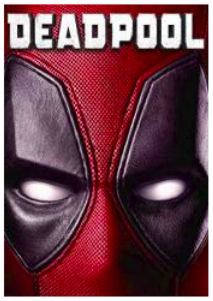
PG-13 | 2009 | 161 minutes

Save | Rate movie

Sign in or join to save for later

Deadpool

Movie review by Sandie Angulo Chen, Common Sense Media



Common Sense says

age 17+ ★★★★☆

Gory, profane, sexy superhero story great, but NOT for kids.

R | 2016 | 108 minutes

Save | Rate movie

Sign in or join to save for later

The Americans

TV review by Kari Croop, Common Sense Media

Common Sense says

age 16+ ★★★☆☆

Period spy drama blends violence, sex, and '80s nostalgia.

FX | Drama | 2013

Save | Rate tv

Sign in or join to save for later

The Simpsons

TV review by Joly Herman, Common Sense Media

Common Sense says

age 12+ ★★★★☆

Clever, fast-paced cartoon with edgy humor.

Fox | Comedy | 1989

Save | Rate tv

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Source: www.commonsensemedia.com

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Exhibit 6

Netflix Subscribers: DVD vs. Streaming

**Netflix introduced streaming in 2007, but split streaming and DVD subscriptions into two separate plans in 2011.*

Source: SEC

Source: http://jllcampaigns.com/jlltechspec/articles/napster-netflix-how-streaming-has-changed-way-we-consume-media

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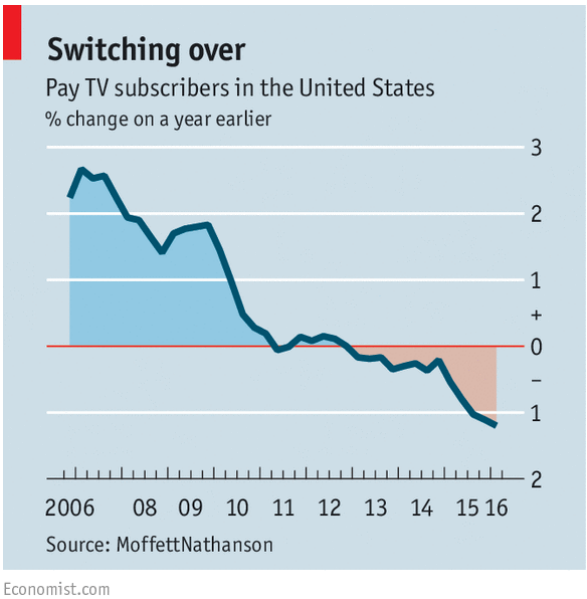
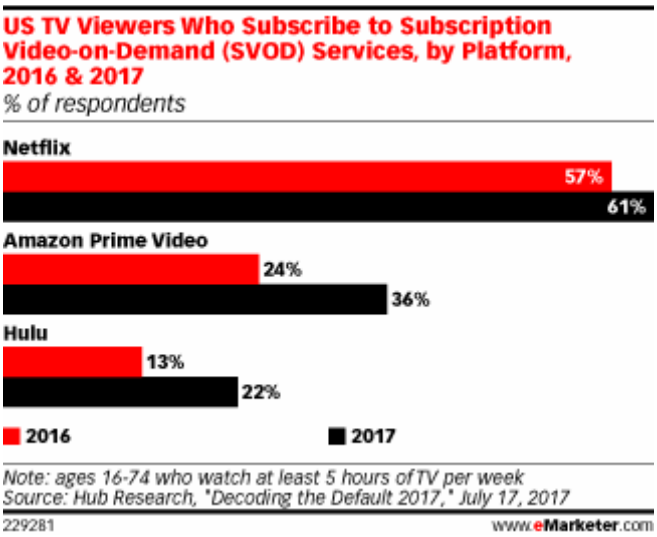
Exhibit 7
Cutting the Cord



Source: https://www.economist.com/news/business/21702177-television-last-having-its-digital-revolution-moment-cutting-cord



Source: https://www.emarketer.com/Article/Netflix-Users-Look-Amazon-Instant-Video-Hulu-Fill-Content-Gaps/1016285

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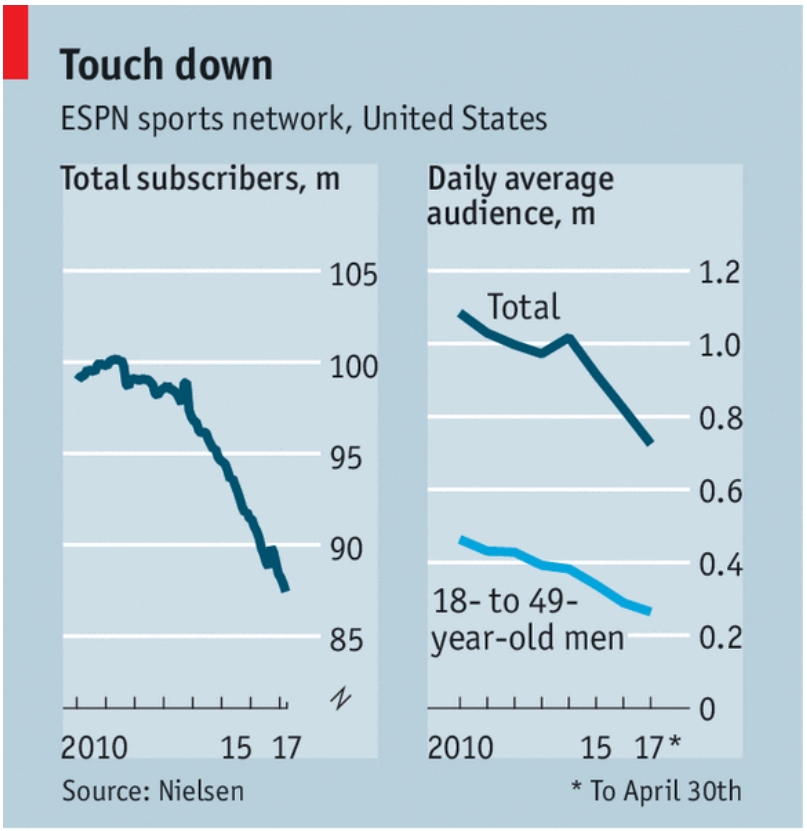

Source: https://www.economist.com/news/business/21721664-sports-fans-are-producing-their-own-bootleg-highlights-espn-losing-subscribers-it

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Exhibit 8
The World in 2050

Table 1: GDP at PPP rankings

	2014		2030		2050	
PPP rank	*Country*	*GDP at PPP (2014 US$bn)*	*Country*	*Projected GDP at PPP (2014 US$bn)*	*Country*	*Projected GDP at PPP (2014 US$bn)*
1	China	17,632	China	36,112	China	61,079
2	United States	17,416	United States	25,451	India	42,205
3	India	7,277	India	17,138	United States	41,384
4	Japan	4,788	Japan	6,006	Indonesia	12,210
5	Germany	3,621	Indonesia	5,486	Brazil	9,164
6	Russia	3,559	Brazil	4,996	Mexico	8,014
7	Brazil	3,073	Russia	4,854	Japan	7,914
8	France	2,587	Germany	4,590	Russia	7,575
9	Indonesia	2,554	Mexico	3,985	Nigeria	7,345
10	United Kingdom	2,435	United Kingdom	3,586	Germany	6,338
11	Mexico	2,143	France	3,418	United Kingdom	5,744
12	Italy	2,066	Saudi Arabia	3,212	Saudi Arabia	5,488
13	South Korea	1,790	South Korea	2,818	France	5,207
14	Saudi Arabia	1,652	Turkey	2,714	Turkey	5,102
15	Canada	1,579	Italy	2,591	Pakistan	4,253
16	Spain	1,534	Nigeria	2,566	Egypt	4,239
17	Turkey	1,512	Canada	2,219	South Korea	4,142
18	Iran	1,284	Spain	2,175	Italy	3,617
19	Australia	1,100	Iran	1,914	Canada	3,583

Source: PWC (2015), *The World in 2050*

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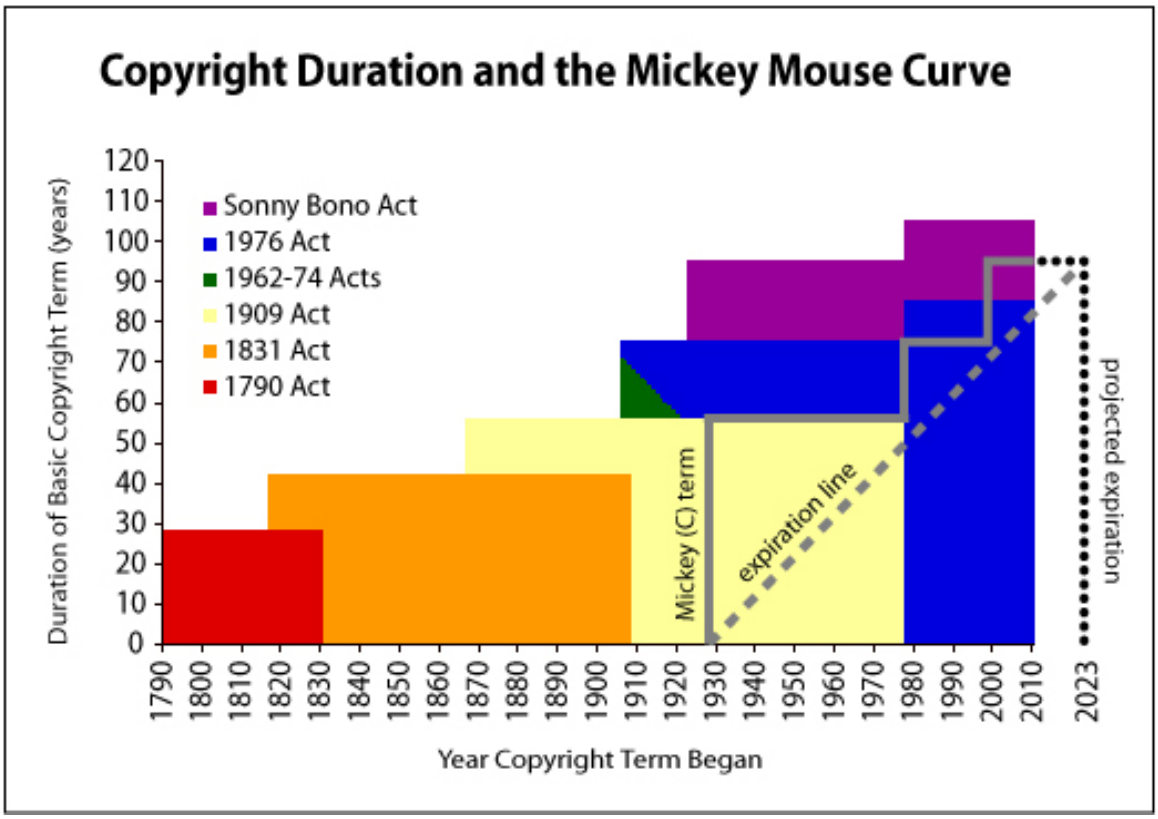
Exhibit 9
Copyright Law



Source: https://atp.orangenius.com/how-mickey-mouse-keeps-changing-copyright-law/

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